THE LAW OFFICES OF OWEN HATHAWAY

YOUR TRUSTEES' GUIDE FOR LIFETIME TRUST DISTRIBUTIONS

A Lifetime Asset Protection Trust (LAPT) protects your heirs' inheritance from lawsuits, divorce, creditors, or bankruptcy. We know of no other option that provides the complete and robust protection of an LAPT.

When leaving assets in a LAPT, you may decide to make your heir the sole Trustee of his or her trust at a specific age or stage (and we recommend that). Still, until that time, you should provide clear guidance regarding how your Trustee should use trust assets for your beneficiaries.

We have pulled together the examples below to inspire you to assemble and personalize the guidelines for your children's or grandchildren's Lifetime Trusts.

The following samples and language are only suggestions to help you individualize your desires. You may have other ideas or thoughts regarding each topic. Some sections present *"pick one"* options, while others operate more in *"pick as many as you want"* mode. Please review the examples and write down your thoughts in the provided spaces.

Then, share this document with your lawyer and ask him or her to support you in creating instructions for your Trustees so that the person you've named can handle assets for your heirs until they are ready to take over matters on their own and have the guidance of your wishes.

ESTABLISHMENT OF A BUSINESS – PICK ONE

I would support my child's establishment of a business as follows:

EXAMPLE 1:

I would support my child's complete purchase, establishment, or continuation of a business or professional practice. A precondition to the approval of this disbursement by the Trustee shall be a reasonable expectation of success, as documented by a business plan conforming to commonly prevailing business practices, or a commercial loan of funds equal to or exceeding this amount from a reputable financial institution for such business or professional practice.

EXAMPLE 2:

I would support my child's establishment of a business or professional practice by providing seed money not to exceed 25% of the first-year startup costs or 15% of the trust capital, whichever is less. A precondition to the approval of this disbursement by the Trustee shall be a reasonable expectation of success, as documented by a business plan conforming to commonly prevailing business practices.

EXAMPLE 3:

I would not provide any funding distributions to my beneficiaries to support any kind of business endeavor.

YOUR THOUGHTS REGARDING SUPPORT OF YOUR (GRAND) CHILD'S BUSINESS:

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CAREER OBJECTIVES

PICK ONE

EXAMPLE 1:

I would support my child's career objectives by supplementing the Beneficiary's income while he or she is employed full-time in an occupation to which he devotes at least 35-40 hours of work per week or while the Beneficiary is pursuing a career that is socially productive on a full-time basis, such as a career as an artist, musician, farmer or teacher.

EXAMPLE 2:

I would support my child's career objectives while he or she is pursuing an educational, scientific, personal or charitable goal so long as the goal is in the child's and the general public's best interest, consistent with our family philosophy, and makes him or her a productive member of society.

EXAMPLE 3:

I would support my child's career objectives by providing a dollar-for-dollar match of whatever the Beneficiary earns.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S CAREER OBJECTIVES:

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EDUCATION

PICK ONE

EXAMPLE 1:

I would support my child's enriching educational opportunities, such as symposia, short educational courses, musical training, or others that are not directly related to the Beneficiary's occupation. The intent must be to broaden the Beneficiary's intellectual horizons and general knowledge. My Trustee may fund similar activities for the Beneficiary's children. Funding for such opportunities shall be limited to 0.5% of the trust principal annually. Any unused distribution in any given year or years may be carried forward to some future time, thereby increasing the allowable expenditure for the eventually selected opportunity.

EXAMPLE 2:

I would support my child's pursuit of an accredited college or graduate studies program, limited to one course of study and not exceeding six years duration, leading to an Associate, Bachelor, Master or Doctorate Degree. The six years need not be sequential. Distributions shall not exceed 3% of the trust principal per year. The use of such distribution shall be unrestricted.

EXAMPLE 3:

I expect my child to work his or her way through college and will match any earnings on a dollar-for-dollar basis.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S EDUCATION:

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SELF-ENRICHMENT/IMPROVEMENT

PICK AS MANY AS YOU WANT

EXAMPLE 1:

My Trustee should disburse principal or income to a beneficiary individually or with his or her spouse or children to pursue, on a one-time basis, a compelling, but not necessarily practical, dream, goal or ambition. Such distribution shall not exceed 10% of the trust principal. As no basis exists for evaluating the reasonableness of this disbursement, the professional Trustee shall approve it without delay or question and shall be fully indemnified for its actions relating to this disbursement.

EXAMPLE 2:

My Trustee should provide funding for more modest enrichment opportunities like the above. Although we want the trustees to be flexible in approving smaller, enriching opportunities, these should genuinely enhance the Beneficiary's life, not simply be a way to get money distributed in a way that wouldn't usually be allowed. Distributions for these opportunities shall not exceed 1% of the trust's capital annually, and unused funds shall not carry forward to future years.

EXAMPLE 3:

My Trustee should fund occasional self-enrichment or self-improvement classes such as cooking, yoga, photography, writing, scuba diving, golf, and other similar courses.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S SELF-IMPROVEMENT:

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FAMILY NEEDS

PICK AS MANY AS YOU WANT

EXAMPLE 1:

If my child needs to stop working to provide full-time care for a family member like their own child or another relative, I want the trust to provide financial assistance to my child during that time. The Trustee has the sole authority to determine if the caregiving duties make it unreasonable for my child to have a job and earn an income. This paragraph may apply if my child becomes a stay-at-home parent to care for his or her children. If my child was not employed and earning an income before becoming a full-time caregiver for a family member, the Trustee should determine a reasonable income amount by referring to data on average wages for domestic workers, nannies, and home health aides in our geographic area.

EXAMPLE 2:

My Trustee should fund the costs of participation by my descendants in activities such as participation in sports, membership organizations, camps, drama, extracurricular activities, and any other interests approved by the Trustee.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S FAMILY:

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HEALTH, MEDICAL AND DISABILITY

PICK AS MANY AS YOU WANT

EXAMPLE 1:

If the Beneficiary becomes disabled, my Trustee shall distribute funds as required to preserve the quality of life the Beneficiary had before the disability. These distributions should supplement, not replace, any insurance payouts or government disability payments the Beneficiary receives, i.e., the Beneficiary must fully utilize those other sources first. If necessary, the professional Trustee may place the Beneficiary's inheritance into a supplemental needs trust, as provided in Article Fourteen of this agreement, to ensure the Beneficiary continues qualifying for public assistance programs.

EXAMPLE 2:

My Trustee should pay the cost of insurance premiums to maintain a reasonable level of medical coverage. If the child's employer provides coverage, my Trustee should reimburse the Beneficiary for the "employee portion" of the insurance cost.

EXAMPLE 3:

My Trustee should pay the cost of grief counseling, physical, occupational, speech, mental, emotional or any other therapy or counseling recommended by the child's physician and approved by the Trustee.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S HEALTH NEEDS:

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HOME AND RESIDENCE

PICK ONE

EXAMPLE 1:

I would support my child's purchase of a home by funding a down payment not to exceed 25% of the purchase price of a first residence, provided that the purchase price is consistent with the current mortgage guidelines as it relates to the Beneficiary's ability to qualify for the mortgage and to make the future mortgage payments.

EXAMPLE 2:

I would support my child's home purchase by funding 50% towards a down payment on purchasing a first home, in keeping with the standard of living to which he or she is accustomed.

EXAMPLE 3:

I would support my child's home purchase by funding the purchase of a residence or the cost of building a home that is in keeping with the standard of living to which he or she is accustomed.

YOUR THOUGHTS ABOUT PROVIDING FUNDS FOR YOUR (GRAND) CHILD'S HOME:

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TRANSPORTATION

PICK AS MANY AS YOU WANT

EXAMPLE 1:

If the child's Guardian believes the child is skilled and mature enough to operate a vehicle responsibly, my Trustee should pay for half the cost of purchasing a safe used car as long as the child pays the other half. However, before providing money for the vehicle, the child must first be able to cover half of the insurance costs. After purchasing the car, the child must continue paying half the ongoing expenses for insuring and maintaining the vehicle.

EXAMPLE 2:

The expense of providing new tires and brakes at least every five years, but more often if necessary, at the discretion of my Trustee.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S TRANSPORTATION NEEDS:

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TRAVEL

PICK AS MANY AS YOU WANT

EXAMPLE 1:

Once every five years, my Trustee should cover the costs of one special or out-of-the-ordinary travel experience for the Beneficiary, their spouse and children (or a companion if not married). This experience could be a trip to a unique destination, to attend a significant cultural event like a renowned music or literary festival, or something similar. However, the total travel expenses paid from the trust may not exceed 2% of the overall trust principal value. Regular, annual family vacations are separate and not included under this provision.

EXAMPLE 2:

My Trustee should fund reasonable travel expenses to maintain family contacts and learn family history, for example, visiting our extended family in Florida.

EXAMPLE 3:

My Trustee should cover the cost of a foreign or domestic vacation with his or her siblings once every other year to foster family ties and togetherness.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S TRAVEL DESIRES:

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WEDDING

PICK ONE

EXAMPLE 1:

My Trustee should cover the reasonable expenses of my child's first wedding and honeymoon.

EXAMPLE 2:

My Trustee should cover one-half of the reasonable expenses of his or her first wedding and honeymoon.

EXAMPLE 3:

My Trustee should cover the reasonable expenses of a modest first wedding up to $15,000.

YOUR THOUGHTS ABOUT PAYING FOR YOUR (GRAND) CHILD'S WEDDING:

LIFESTYLE DISABILITY -BLOCKING CHILD AS TRUSTEE

PICK AS MANY AS YOU WANT

EXAMPLE 1:

If the Beneficiary is dealing with issues like drug or alcohol addiction, severe debt problems, or involvement in a cult, the Trust Protector (who is not a trustee) has the authority to prevent the Beneficiary from becoming the sole Trustee of the trust. The Trust Protector shall block the Beneficiary from this role until the Beneficiary overcomes and is free from those lifestyle disabilities or issues.

EXAMPLE 2:

If the Beneficiary is subject to a temporary restraining order, divorce decree, legal separation order, or any other court order from legal proceedings, the Trust Protector (who is not acting as a trustee) has the authority to prevent the Beneficiary from becoming the sole Trustee of the trust. The Trust Protector shall block the Beneficiary from this role until those court orders or legal disabilities no longer bind the Beneficiary.

EXAMPLE 3:

The Trust Protector shall have discretion to determine, in light of the facts and circumstances that may be present at the time, when a Beneficiary suffers from a lifestyle disability.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S APPROVAL OF SOLE TRUSTEE:

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REMOVAL AND DISTRIBUTION – BLOCKING DISTRIBUTION AND WITHDRAWAL

PICK AS MANY AS YOU WANT

EXAMPLE 1:

If the Beneficiary is dealing with issues like drug or alcohol addiction, severe debt problems, or involvement in a cult, the Trust Protector (who is not a trustee) has the authority to prevent the Beneficiary from becoming the sole Trustee of the trust. The Trust Protector shall block the Beneficiary from withdrawing principal and accumulated income until the Beneficiary overcomes and is free from those lifestyle disabilities or issues.

EXAMPLE 2:

If the Beneficiary is subject to a temporary restraining order, divorce decree, legal separation order, or any other court order from legal proceedings, the Trust Protector (who is not acting as a trustee) has the authority to prevent the Beneficiary from becoming the sole Trustee of the trust. The Trust Protector shall block the Beneficiary from withdrawing principal and accumulated income until those court orders or legal disabilities no longer bind the Beneficiary.

EXAMPLE 3:

The Trust Protector shall have discretion to determine, in light of the facts and circumstances that may be present at the time, when a Beneficiary suffers from a lifestyle disability.

YOUR THOUGHTS ABOUT SUPPORTING YOUR (GRAND) CHILD'S TRUSTEE BLOCKAGE OR REMOVAL DESIRES:

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PLEASE ADD ANYTHING ELSE YOU THINK YOU WOULD PROVIDE MONETARY SUPPORT FOR HERE: